Session 28: Consolidated Financial Statements: The Concept of Control I (IFRS10)

By the end of this session you must know how the IFRS10/IAS27/IAS28/IFRS11/IFRS12 framework divides up investments in other entities, the three-part definition of control, how consolidation actually works mechanically (eliminating the investment against subsidiary equity, recognising NCI), and how to calculate goodwill arising on consolidation under both the partial-goodwill and full-goodwill methods.

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1. The Investments-in-Other-Entities Framework

Five standards together govern how an entity accounts for its stakes in other entities:

- **IFRS10** (Consolidated Financial Statements, effective 1 Jan 2013). Defines the requirements for preparing consolidated statements.
- **IAS27** (Separate Financial Statements). Applies only to the parent's own separate (unconsolidated) statements.
- **IAS28** (Investments in Associates and Joint Ventures). Prescribes the equity method.
- **IFRS11** (Joint Arrangements, 1 Jan 2013). Deals with joint control (joint operations vs. joint ventures).
- **IFRS12** (Disclosure of Interests in Other Entities, 1 Jan 2013). Specifies the related disclosures.

2. Consolidated vs. Separate Financial Statements

Must know (accounting treatment by investment type):
• **Investments in subsidiaries, consolidated FS:** full consolidation (IFRS10 + IFRS3). **separate FS:** a choice of cost, fair value (IFRS9), or equity method (IAS28)
• **Investments in associates, both consolidated and separate FS:** equity method (IAS28)
• **Investments in joint ventures, both:** equity method (IAS28)
• **Other investments (non-controlling, i.e. no significant influence), both:** fair value (IFRS9), with changes recognised through profit or loss (FVTPL) or, as an optional irrevocable election for non-trading investments, through OCI (FVTOCI), the same equity-instrument choice already covered in Session 8

- Dividends are recognised when the right to receive them is established (IAS27), and generally flow to profit or loss. Except that under the equity method, dividends received are instead deducted from the investment's carrying amount (since the investee's profit was already picked up through the equity method itself, a separate dividend would otherwise double-count it).

3. Key Definitions: Group, Parent, Subsidiary

Consolidated financial statements (IFRS10): "the financial statements of a group… presented as those of a single economic entity." Also called group financial statements or group accounts.

Group: a parent and its subsidiaries. **Parent:** an entity that controls one or more entities. **Subsidiary:** an entity that is controlled by another entity.

Control (headline definition): exists "when the investor is exposed… to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee."

4. The Three-Part Test for Control

Must know (control requires ALL three of the following):
• **1. Power** over the investee
• **2. Exposure or rights to variable returns** from involvement with the investee
• **3. The ability to use that power** to affect those returns

Power: existing rights that give the current ability to direct the investee's **relevant activities**: activities that significantly affect the investee's returns (e.g. selling/purchasing goods and services, managing financial assets, selecting/acquiring/disposing of assets, R&D, determining a funding structure). Power can exist even without a majority of voting rights, though in straightforward cases it is achieved by owning more than 50% of ordinary shares.

- Power arises from rights such as: voting rights. Rights to appoint/remove key management personnel, and rights to direct the investee into (or veto changes to) transactions affecting its returns.
- Crucially, these rights must be **substantive**: the holder must have the practical ability to exercise the right, with no barriers to doing so.

Protective rights: rights designed only to protect the interest of the holder, without giving power over the entity. If an investor's rights are purely protective, they do not confer power, however extensive they look on paper.

Potential voting rights (e.g. options, convertible instruments giving access to voting rights) must be considered when assessing power, provided the ability to exercise them is **current** (not merely a future possibility contingent on events outside the holder's control).

Variable returns: control requires exposure to returns that vary (not fixed) with the investee's performance. Dividends, fees, residual interests, synergies, and cost savings/strategic benefits all count. Greater risk exposure creates a greater incentive to seek control.

5. Basic Consolidation Rules and Exemptions

Must know (basic IFRS10 consolidation rules):
• The parent must consolidate all subsidiaries it controls, using **uniform accounting policies** across the group
• Consolidation begins when control is obtained and ends when control is lost
• If ownership is <100%, the group recognises **non-controlling interests (NCI)**: the portion of net assets and net income attributable to minority shareholders, shown separately in both equity and net income
• Share purchases/disposals that do **not** change control are treated as **equity transactions** (like treasury share movements), no impact on consolidated profit or loss
• When control is **lost**: derecognise the subsidiary's assets/liabilities, recognise any retained interest at fair value, and record a gain/loss in profit or loss
• IFRS10/IAS27 define **when** to consolidate, not **how** (the mechanical techniques), that comes from practice and IFRS3 (Session 30)

- Consolidation is conceptually the accounting *consequence* of transactions involving the acquisition or loss of control, and those transactions fall under IFRS3 (Business Combinations, Session 30), which covers not only share deals but mergers, spin-offs, asset/business transfers, and exchanges of equity interests. Control can be gained or lost through many legal forms, not only buying/selling shares.

Exemption from preparing group accounts: a parent need not prepare consolidated accounts if **all** of the following hold: it is itself a wholly- or partially-owned subsidiary (and other owners do not object). Its shares are not publicly traded. It has not filed (and is not filing) statements with a securities regulator for public-market instruments, and its own ultimate parent presents IFRS-compliant, publicly available group accounts.

6. Mechanics: From Aggregation to Consolidation

Aggregated financial statements: simply summing the "homogeneous" financial statements of every entity in the consolidation scope, line by line.

- The objective of consolidated financial statements is to present the group as a single economic entity, distinct from the many legal entities composing it.
- To move from aggregation to true consolidation, the parent's **investment** in each subsidiary must be eliminated against the subsidiary's own **equity** at acquisition.

Simple elimination (no goodwill, no NCI complexity): Alfa acquires a 90% interest in Beta for €900. Beta's equity at acquisition is €1,000. Before elimination, the aggregate balance sheet simply adds Alfa's €900 investment, Beta's €5,000 assets, €4,000 liabilities and €1,000 equity to Alfa's own equity of €900. After elimination: the €900 investment and (90% of) Beta's €1,000 equity are cancelled against each other, and the remaining 10% of Beta's equity (€100) is recognised separately as **non-controlling interest (NCI)**.

7. Goodwill Arising on Consolidation: Step-Ups, Step-Downs and Deferred Tax

Goodwill arising on consolidation (IFRS3): each subsidiary's identifiable assets and liabilities are first adjusted to **fair value** at the acquisition date. If the parent paid more than the fair value of net assets acquired, the excess is goodwill, recognised as an asset in the consolidated balance sheet. Goodwill is tested annually for impairment (IAS36, Sessions 12-13) and never amortised, exactly as for goodwill generally.

Negative goodwill (purchase price below the fair value of net assets acquired, a "bargain purchase") is recognised immediately as **income**, increasing group reserves at the acquisition date. The opposite treatment from ordinary goodwill.

Revaluation difference: the gap between an asset/liability's book (carrying) value and its fair value at acquisition. A **step-up** (fair value > carrying amount) indicates an undervalued asset or overstated liability. A **step-down** (fair value < carrying amount) indicates an overvalued asset or understated liability.

- Step-ups and step-downs are recognised as balance-sheet adjustments only. They never touch the income statement.
- Their related tax effects are likewise recognised solely on the balance sheet, as temporary differences (Session 19-20 mechanics applied here): a step-up generates a **deferred tax liability** (an asset is now worth more for accounting than its tax base). A step-down generates a **deferred tax asset**.

Fair value of net assets = Book equity of the acquiree at acquisition + Step-ups (net of deferred tax) − Step-downs (net of deferred tax)
Goodwill = Purchase price of the investment − Parent's share of the fair value of net assets (if positive) | Negative goodwill = the reverse (if the purchase price is lower)

- Post-acquisition, only *changes* in the subsidiary's net assets arising **after** the acquisition date affect group equity: post-acquisition profits increase group retained earnings, post-acquisition losses reduce them, and any subsequent goodwill impairment reduces both goodwill's carrying amount and group equity through profit or loss.
- For partly-owned subsidiaries, the consolidated balance sheet includes 100% of the subsidiary's net assets (as if wholly owned), with the portion attributable to minority shareholders separately identified as NCI.

8. Worked Example: Partial Goodwill vs. Full Goodwill

Setup: on 1 January, Alfa acquires an 80% interest in Beta for €12,000. Beta's book equity at acquisition = €10,000. Fair value differs from carrying amount for two items: PP&E (carrying 3,500, fair value 5,000, step-up of 1,500, remaining useful life 20 years) and Patents (carrying 500, fair value 1,000, step-up of 500, remaining useful life 10 years). Tax rate = 50%. The residual positive consolidation difference is allocated to goodwill.

Fair value of net assets: book equity 10,000 + total step-ups 2,500 (1,500 PP&E + 1,000 patents) − tax effect at 50% on the step-ups (1,250) = **fair value of net assets 11,250**.

Option 1, Partial goodwill method (goodwill recognised only for the parent's own share): 80% share of fair value of net assets = 80% × 11,250 = 9,000. Goodwill = purchase price 12,000 − 9,000 = **€3,000**. NCI is measured at its proportionate share of the fair value of net assets: 20% × 11,250 = **€2,250**. (Equivalent check: total acquisition value = purchase price 12,000 + NCI at 2,250 = 14,250, minus fair value of net assets 11,250 = goodwill 3,000. Same result.) Consolidated balance sheet entries: Dr PPE step-up 1,500. Dr Patents step-up 1,000. Dr Goodwill 3,000. Cr Investment 12,000 (eliminated). Cr NCI 2,250. Cr Deferred tax liability 1,250, and Cr Beta's original share capital 10,000 is eliminated against these debits/credits, balancing at 15,500 on both sides.

Option 2, Full goodwill method (NCI measured at fair value, including its share of goodwill): assume the 20% minority stake has an independently appraised fair value of €3,000 (rather than a proportionate share of net assets). Total acquisition value = purchase price 12,000 + NCI at fair value 3,000 = 15,000. Goodwill = 15,000 − fair value of net assets 11,250 = **€3,750**. Note goodwill is larger under this method (3,750 vs. 3,000) because it now includes the NCI's own implied share of goodwill, not just the parent's.

Must know (the two methods compared, same facts):
• **Partial goodwill** (Option 1): NCI = 2,250 (proportionate share of fair value of net assets only). Goodwill = 3,000 (parent's share of goodwill only). Balance sheet totals 15,500
• **Full goodwill** (Option 2): NCI = 3,000 (NCI's own fair value, including its share of goodwill). Goodwill = 3,750 (100% of goodwill, both parent's and NCI's shares). Balance sheet totals 16,250
• Both methods leave the PPE step-up (1,500), Patents step-up (1,000), and deferred tax liability (1,250) identical. Only the goodwill and NCI figures differ, and they differ by exactly the same amount (750) in each case, since the extra goodwill under Option 2 is entirely attributable to the NCI's fair-value premium over its proportionate net-asset share

9. Common Mistakes and Exam Traps

- Assuming control always requires more than 50% of voting shares. Power can exist without a voting majority (e.g. via contractual rights), and a bare majority can also fail to give power if the relevant rights are not substantive.
- Treating protective rights as conferring power. However extensive, purely protective rights (designed only to shield the holder's interest) never give control on their own.
- Recognising step-up/step-down fair-value adjustments through the income statement. They are balance-sheet-only adjustments, and so are their related deferred tax effects.
- Mixing up which method (partial vs. full goodwill) is being used when a question gives an NCI fair value. If NCI is measured at its *proportionate share* of net assets, that is the partial goodwill method. If NCI is measured at its own independently appraised *fair value*, that is the full goodwill method, and total goodwill will be larger.
- Forgetting that a step-up produces a deferred tax **liability** (not asset). The asset is now carried above its tax base, exactly the taxable-temporary-difference pattern from Session 19.
- Recognising all of a subsidiary's historical (pre-acquisition) reserves as part of consolidated group equity. Only *post*-acquisition changes in the subsidiary's net assets flow into group retained earnings. The pre-acquisition equity is eliminated against the investment (and NCI), not carried forward.

10. Must Know Absolutely

Must know:
• Framework: IFRS10 (consolidation), IAS27 (parent's separate FS), IAS28 (equity method), IFRS11 (joint arrangements), IFRS12 (disclosure)
• Control = power + exposure to variable returns + ability to use power to affect those returns, all three required
• Power requires substantive rights (practical ability + no barriers). Protective rights and non-substantive potential voting rights don't count
• Consolidation mechanics: eliminate the investment against the subsidiary's pre-acquisition equity. Recognise NCI for the minority share
• Fair value of net assets = book equity + step-ups − step-downs, both net of deferred tax (step-up → DTL, step-down → DTA)
• Goodwill = purchase price (+ NCI at fair value, if full goodwill method) − fair value of net assets acquired (or the parent's proportionate share, if partial goodwill method)
• Partial goodwill: NCI = proportionate share of fair value of net assets, smaller total goodwill. Full goodwill: NCI = NCI's own fair value, larger total goodwill (includes NCI's share of goodwill too)